

Therefore, at a time when the Indian economy and corporations, especially family business firms, are facing a number of threats as well as opportunities, *BT* asked him about the impact of artificial intelligence (AI), why it is imperative for the country to focus on manufacturing, and how boards can enable fool-proof succession-planning.

Born in 1939 in Uttar Pradesh, India, Charan learnt his first business lessons at his family's shoe shop, where he developed an instinct for cash flow, people,

world demand, then flooding markets by pricing at or below the marginal cost to destroy competition. He talks about the criticality of policy reforms for Indian manufacturing and MSMEs, the impact of the coming AI revolution, and overcoming thorny management issues. Edited excerpts:

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Over the years, manufacturing as a share of GDP has been coming down in India. Given that our focus is on services,

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What will be the impact of AI on Indian companies?

AI is not a technology question. It is a leadership one. Every CEO and every board in India must understand this.

AI is the most powerful tool of instant learning that has ever existed. It puts the world's data at your feet. It changes how you think, how fast you learn, and how quickly you turn ideas into action.

For Indian companies, the opportunity is enormous. AI expands the imagination of executives. It allows them

instinct alone. You must lead with data. That requires every senior leader to invest in learning.

India has the talent. India has the ambition. What is needed now is leadership that acts with urgency. The companies that master AI will define the next decade. The ones that wait will be defined by it.

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From your experience with global companies on succession planning, are there any lessons for Indian corporates?

The selection of a CEO

“Leaders must become coaches. You can no longer lead with instinct alone. You must lead with data”

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and the fundamentals of commerce that still anchors his work today. Later, he earned an engineering degree in India, then an MBA and Doctorate from Harvard Business School, where he graduated with high distinction as a Baker Scholar.

His latest book, *China's 90% Model: China Has America by the Throat. Here's How to Fight Back and Win*, exposes how China systematically dominates global industries by building overcapacity to meet 90% of

how will it impact the growth of Indian industries and the economy?

India cannot prosper and improve its GDP per capita without growing manufacturing. Period. Second, a nation is built by its medium, small and micro enterprises. Most of them have land, they know how to execute, and the time has come to scale them up. For example, they can manufacture textiles and furniture for internal consumption. This will reduce India's trade deficit by half.

to sense opportunities that did not exist before. Companies are already imagining and building systems for preventive maintenance, customer intelligence, supply chain optimisation, and much more. The speed of execution is increasing dramatically.

But here is the danger. If Indian CEOs leave AI to their technology teams, they will fall behind. This is not a technology project. It is business transformation one. Leaders must become coaches. You can no longer lead with

is still, at the end of the day, a matter of judgement. Most people will tell you that Jaguar has made a mistake in the selection of its CEO even though it has one of the most rigorous selection processes. This has happened to Ford Motors too. What is important for the new leader is a rigorous understanding of what needs to be tackled in the first two years. People think that if a business leader can do well in the long term, that is sufficient. My view is that if he or she does not get the first